

MODULE 07

STUDENT DOWNLOAD | SHOP-FLOOR WORKBOOK

Risk, Unknowns, and Margin Protection

A risk register, risk treatment guide, and quote language bank for protecting margin before award.

A professional estimate is not just a cost calculation. It is a risk decision.

Use this immediately after watching the module. The goal is not paperwork for the sake of paperwork. The goal is to slow down the quote just enough to stop missed cost, unclear responsibility, and margin loss before the job is won.

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WORKSHEET

Risk Register

Name the risk before it becomes an unpaid problem.

RISK / UNKNOWN	WHO CONTROLS IT?	COST IMPACT / PROBABILITY	TREATMENT / QUOTE LANGUAGE / ACTION

RISK / UNKNOWN	WHO CONTROLS IT?	COST IMPACT / PROBABILITY	TREATMENT / QUOTE LANGUAGE / ACTION

WORKSHEET

Risk Treatment Guide

Do not handle every risk the same way.

TREATMENT	USE WHEN	EXAMPLE
Price it	The risk is likely and inside your scope	Add field verification hours
Clarify it	Information is missing before bid	RFI on finish spec or connection detail
Qualify it	Price depends on a condition	Assumes clear access and one mobilization
Exclude it	You are not responsible for the work	Concrete repair excluded
Transfer it	Another party should own it	Crane and rigging by others
Reserve it	Known unknown inside your scope	Internal reserve for minor fit-up issues
Negotiate it	Customer needs a lower price	Remove scope instead of cutting profit

WORKSHEET

Four Money Buckets

Keep these separate or you will not know what happened after the job is done.

BUCKET	MEANING	DO NOT USE IT FOR
Base Cost	Planned cost to do the defined work	Unknowns or profit
Contingency	Known unknowns inside the scope	Outside-scope work or poor assumptions
Margin	What the company earns for taking and performing the job	A safety net for missing costs
Reserve	Internal protection controlled by the business	Automatic spending or customer discount

WORKSHEET

Quote Language Bank

Use clear wording to define the fence around the job.

RISK AREA	SUGGESTED LANGUAGE
Mobilization	Price includes one mobilization to site. Additional mobilizations caused by site conditions, access restrictions, or delays by others will be treated as extra.

RISK AREA	SUGGESTED LANGUAGE
Access	Price assumes clear access to the work area during scheduled installation. Waiting or standby time caused by others is excluded.
Approvals	Price assumes approved-for-fabrication drawings are received by the stated date. Schedule impacts caused by delayed approvals or revisions are excluded.
Dimensions	Price assumes dimensions provided are accurate unless field verification is specifically included.
Premium time	Premium time, overtime, night shift, weekend work, or accelerated schedule requirements are excluded unless specifically stated.
Submittals	Price assumes one submittal review cycle. Additional revisions caused by design changes are extra.

WORKSHEET

Apply This To A Real Job

Use the space below to connect the lesson to an actual estimate you are working on.

APPLY THIS TO MY NEXT ESTIMATE	NOTES
One thing I will use immediately	
One question I need to ask before I price	
One assumption, exclusion, or clarification I should write down	
Extra notes / reminders	